

THE NEW DELHI ACCORD COULD DIFFERENTIATE ITSELF BY INCENTIVISING DEVELOPING COUNTRIES FOR MAINTAINING LOW GREENHOUSE GAS EMISSIONS

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oping-world-centric model through its Viksit Bharat 2047 vision.

A key regulatory development for mainstreaming ESG in India was the introduction of the Business Responsibility and Sustainability Report (BRSR) which was introduced by the Securities and Exchange Board of India (SEBI) in 2021 as a replacement for the Business Responsibility Report (BRR). With the mandatory reporting for the top 1,000 companies by market capitalisation under the BRSR guidelines, there is a transition from viewing ESG as compliance to a core business strategy for many companies.

The Reserve Bank of India (RBI) also proposed a draft requiring banks, financial institutions, and large non-banking financial companies (NBFCs) to disclose climate-related financial risks. Additionally, the RBI suggested creating a pool of bankable climate projects and announced an 'On Tap' cohort for climate change risks and sustainable finance under its regulatory sandbox initiative.

Regulatory bodies like the Sebi and RBI are also taking climate action measures. India ranks among the top three countries globally in setting and reducing carbon emission targets, trailing only China and Brazil. India has committed \$386 billion to expand renewable capacity, aiming for 500 GW of non-fossil power by 2030.

While the emphasis on climate is important, given the stage of growth and development in India, we believe that the focus within ESG should be more on governance, followed by social aspects, and then environmental ones. This hierarchy is essential for ensuring a balanced and comprehensive approach.

Governance is especially pertinent for India, where many promot-

er-led companies adhere to management best practices and uphold strong governance standards. Additionally, Indian companies have begun to recognise the value of stewardship and investor voting, taking on more active roles in ESG-related actions. Over time, organisations that have invested and focused on the 'G' aspect of ESG have been rewarded with stakeholder trust.

What is also crucial is for India to champion a New Delhi Accord, akin to the Montreal Protocol (which India was also a part of). Under that agreement, India successfully phased out ozone-depleting substances. A similar accord is essential today to ensure that developed nations are held accountable for their disproportionate share of carbon emissions, on a per capita basis. The New Delhi Accord could differentiate itself by acknowledging and incentivising the efforts of developing countries in maintaining low greenhouse gas emissions. India could be a bridge between developing and developed countries. India also has credibility as it met Paris targets early and is expanding in renewables.

Back home, Kotak Mahindra Asset Management Co Ltd (KMAMC) was the first Indian asset management company to adopt the principles of responsible investment. While in India there is a category for ESG schemes under the mutual fund umbrella, the acceptance of the same by investors in India has been patchy. It's important to note that investors will only embrace ESG funds when the returns are comparable to regular funds.

Therefore, ESG should not merely be a box-ticking exercise, it must contribute to real, inclusive development. **BT**

Views are personal